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c) Given Graphics Company was organized on January 1, 2010, by Sue Green. At the end of the first 6 months of operations, the trial balance contained the accounts in table-3:

Debits		Credits	
Cash	\$ 9,500	Notes Payable	\$20,000
Accounts Receivable	14,000	Accounts Payable	9,000
Equipment	45,000	Sue Green, Capital	22,000
Insurance Expense	1,800	Graphic Revenue	52,100
Salaries Expense	30,000	Consulting Revenue	6,000
Supplies Expense	1,700	Total	\$109,100
Advertising Expense	1,900		
Rent Expense	1,500		
Utilities Expense	1,700		
Total	\$109,100		

Table-3

Analysis reveals the following additional data:

- i) The \$3,700 balance in Supplies Expense represents supplies purchased in January. At June 30, \$1,300 of supplies was on hand.
- ii) The note payable was issued on February 1. It is a 9%, 6-month note.
- iii) The balance in Insurance Expense is the premium on a one-year policy, dated March 1, 2010.
- iv) Consulting fees are credited to revenue when received. At June 30, consulting fees of \$1,500 are unearned.
- v) Graphic revenue earned but unrecorded at June 30 totals \$2,000.
- vi) Depreciation is \$2,000 per year.

Required 1: Journalize the adjusting entries at June 30. (Assume adjustments are recorded every 6 months.)
Required 2: Prepare an adjusted trial balance.

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Expert Answer

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S.No	Accounts	Debit (\$)	Credit (\$)
i	Supplies	1,300	
	Supplies Expense		1,300
ii	Interest expense	750	
	Interest payable		750
iii	Prepaid Insurance	1,200	
	Insurance Expense		1,200
iv	Consulting Revenue	1,500	
	Unearned Consulting Revenue		1,500
	Accounts		

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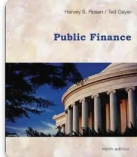
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v	Receivable	2,000	
	Graphic Revenue		2,000
vi	Depreciation expense - equipment	1,000	
	Accumulated Depreciation - equipment		1,000

Calculation:

1) Interest expense = interest for 5 months = $20,000 \times 9\% \times 5/12 = \750

2) Prepaid Insurance = Insurance for 8 months = $1800/12 \times 8 = \$1,200$

3) Depreciation expense for 6 months = $2,000/2 = \$1,000$

Adjusted Trial Balance		
As of the June 30, 2010		
Accounts	Debit (\$)	Credit (\$)
Cash	9,500	
Accounts Receivable (14,000+2,000)	16,000	
Supplies	1,300	
Prepaid Insurance	1,200	
Equipment	45,000	
Accumulated Depreciation - equipment		1,000
Notes payable		20,000
Accounts Payable		9,000
Interest payable		750
Unearned Consulting Revenue		1,500
Sue Givens, Capital		22,000
Graphic Revenue (52,100+2,000)		54,100
Consulting Revenue (6,000-1,500)		4,500
Insurance Expense (1,800-1,200)	600	
Salaries Expense	30,000	
Supplies Expense (3,700-1,300)	2,400	
Advertising Expense	1,900	
Rent Expense	1,500	
Utilities Expense	1,700	
Depreciation		

expense - equipment	1,000	
Interest expense	750	
Total	112,850	112,850

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